

his or her refund, charging an outrageous fee for the service (the \$35 that David paid works out to an annual interest rate of more than 200%) and then pocketing the actual refund when it arrives from the IRS.

Refund anticipation loans are even less beneficial now that electronic filing and direct deposit make it possible to get your refund in ten days. If you need money right away, just about any other way of getting it—even cash advances on your credit card—will be cheaper.

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If you decide to file your own taxes online, go to the “Paper-Free Filing” box on Paper-Free Filing.

### If You Use a Preparer

The most obvious choices are either big-name chains such as H&R Block or the smaller mom-and-pop shops in your neighborhood. The advantage of these services is that they’re usually inexpensive. If you’re sure you aren’t eligible for many deductions and that the standard deduction is for you, a storefront preparer is fine. Keep in mind that the level of knowledge can vary dramatically. Look for a tax preparation business that operates year-round rather than one that’s open just a few months a year. Ask friends and family members to recommend specific preparers. Most chain preparers allow you to request a specific person.

If you have a somewhat more complicated return (for example, you’re self-employed or you’ve received a large inheritance), you may want to find a preparer with more chops. One of the top credentials is **CPA**, which stands for **certified public accountant**. CPAs have to meet the toughest requirements to get licensed; they also can be expensive. Another, usually cheaper option, is an **enrolled agent**; the title refers to any preparer who has worked for the IRS as an auditor or in some similar job for five years or who has passed a difficult two-day exam. At the very least, find a preparer with a minimum of three years’ experience filing returns. **Tax attorneys** are typically the most expensive alternative and are necessary only if you’re in serious trouble with the IRS.

Be sure to ask what the preparer charges; there may be different rates for different preparers at the same company. You can often find an enrolled